KIIT CAPSTONE PROJECT

SAP Project Documentation — Order-to-Cash (O2C) | SAP SD

Name	Rakesh Yadav
Roll Number	23053672
Branch	B.Tech (Computer Science & Engineering)
Submission	April 21, 2026
Topic	Order-to-Cash (O2C) — Complete Sales Cycle (SAP SD)

1. Project Title

Order-to-Cash (O2C) Process — End-to-End Sales Cycle Implementation using SAP SD

2. Problem Statement

In many organizations, the sales process involves multiple disconnected steps — from customer inquiry to final payment — managed through manual or fragmented systems. This causes delays, data inconsistencies, revenue leakage, and poor customer experience.

The goal is to implement a seamless, end-to-end O2C process using SAP SD that integrates all stages — Inquiry, Quotation, Sales Order, Delivery, Billing, and Payment — within a single unified ERP system, ensuring real-time data flow and financial accuracy.

3. Solution & Features

The complete O2C process in SAP SD is structured across the following stages, all supported within SAP S/4HANA and integrated with SAP FI and MM modules:

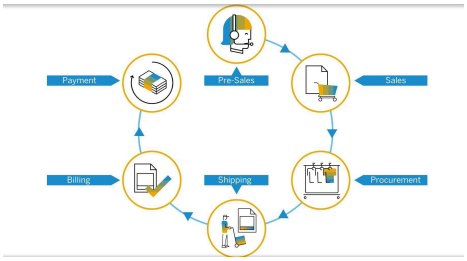

Fig 1: O2C Complete Process Cycle

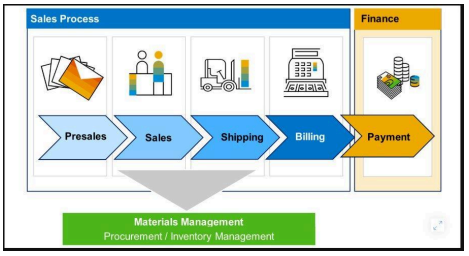

Fig 2: SAP Sales Process Flow

4. Step-by-Step O2C Process

The O2C process in SAP SD is executed through 6 key transaction steps. Each step creates a document that links to the next, forming a complete audit trail from pre-sales to payment.

#	Step / T-Code	Description
1	**VA11 — Inquiry**	Customer raises an inquiry. Sales team captures product requirements and checks availability.
2	**VA21 — Quotation**	Formal price offer created and sent to customer with validity period, discount, and payment terms.
3	**VA01 — Sales Order**	Upon acceptance, Sales Order is created referencing quotation. Confirms price, delivery date, and quantities.
4	**VL01N — Delivery**	Outbound delivery document created. Goods are picked, packed, and shipped from plant/warehouse.
5	**VF01 — Billing**	Invoice generated for delivered goods. Billing document posted automatically to SAP FI accounts.
6	**F-28 — Payment**	Customer payment received and posted in SAP FI, clearing the open receivable in the ledger.

4.1 Order & Delivery Flow Scenarios

SAP SD supports three O2C scenarios based on product type: (1) Material in Stock — Order→Delivery→Invoice→Payment, (2) Service Product — Order→Invoice→Payment (no delivery), (3) Mixed Order — combines delivery-related and order-related billing processes.

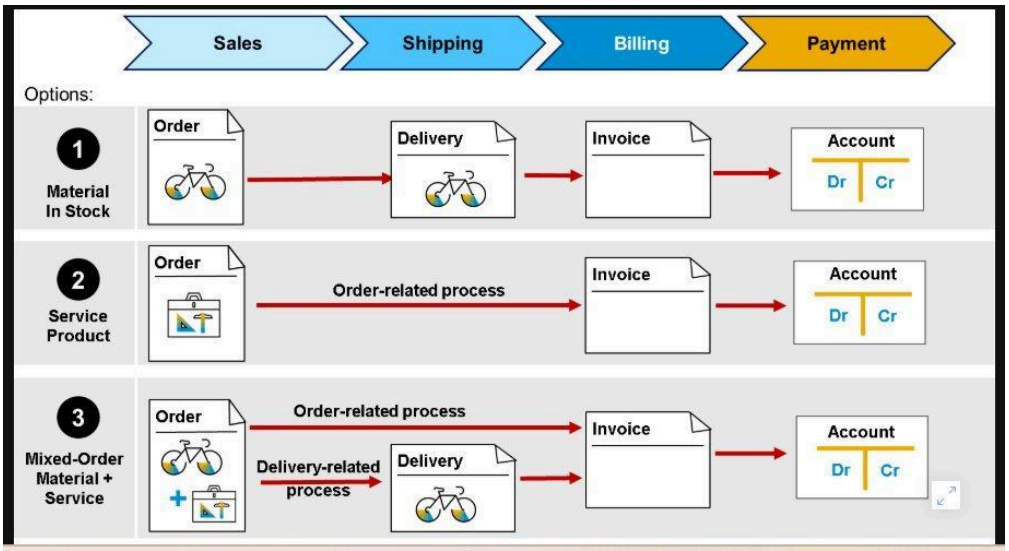

Fig 3: SAP O2C — Order to Invoice to Payment (3 Scenarios)

4.2 Quotation & Sales Order Screens

The SAP Fiori Quotation screen captures all pre-sales data. The Sales Order links the Sales Organization to the Sold-to Party with full product, pricing, and delivery information.

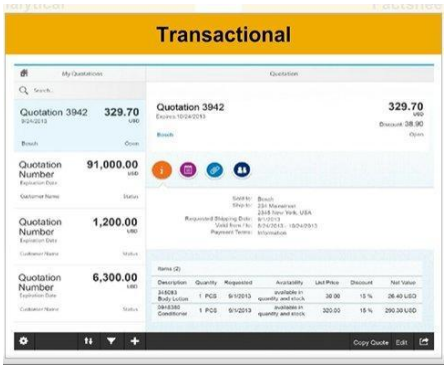

Fig 4: SAP Fiori — Quotation Screen (VA21)

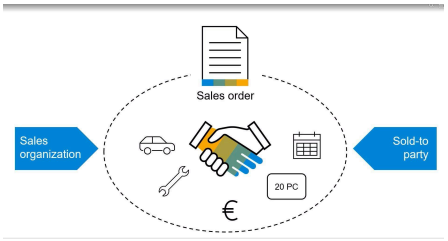

Fig 5: Sales Order — Sales Org to Sold-to Party

4.3 Sales Order Document Structure

The SAP Sales Order has three levels — Header (Sold-to Party, Ship-to Party, Customer Reference), Item (Material, Quantity, Description, Net Value), and Schedule Line (Delivery Dates and Confirmed Quantities).

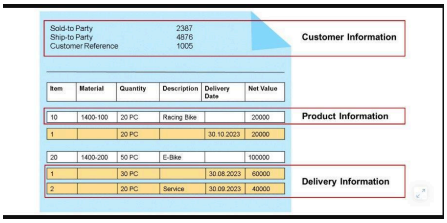

Fig 6: Sales Order — Customer, Product & Delivery

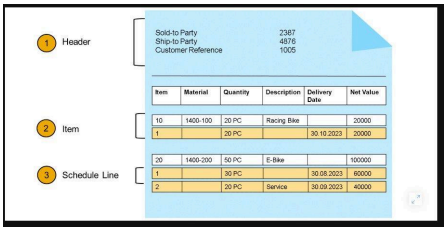

Fig 7: Sales Order — Header, Item & Schedule Line

5. Tech Stack

Technology	Details
ERP Platform	SAP S/4HANA / SAP ECC 6.0
Module	SAP SD (Sales & Distribution)
Integration	SAP FI (Financial Accounting) — real-time payment posting
Customization	SPRO / IMG (Implementation Guide) — org structure & pricing
User Interface	SAP Fiori Launchpad — role-based modern UI
Reporting	VA05 (Open Orders), VL06O (Deliveries), VF05 (Billing List)

6. Unique Points

- End-to-end integration of SAP SD with SAP FI ensuring real-time financial postings upon billing and payment.
- Pricing conditions (PR00, K007) configured for automatic discount, surcharge, and tax calculation in sales orders.
- SAP Fiori Launchpad delivers a modern, tile-based, role-specific user experience for the entire O2C process.
- Document flow feature in SAP SD traces every transaction — from inquiry to payment — in a single audit trail.
- Fictitious company RY Technologies Pvt. Ltd. configured with full org structure: Company Code, Sales Org, Plant, Division.
- Copy control configured between sales documents to automate data flow and eliminate manual re-entry errors.

7. Future Improvements

- Full integration with SAP MM (Procure-to-Pay) to build a complete, end-to-end Supply Chain Management scenario.
- Advanced SAP Fiori apps deployment for mobile-friendly, real-time O2C process monitoring and approvals.
- Credit management configuration — customer credit limits, risk categories, and automatic credit check in VA01.
- Batch job automation for billing (SM36/SM37) to eliminate manual VF01 processing for high-volume transactions.
- Extension to SAP CRM / SAP C4C for pre-sales lead management, opportunity tracking, and customer interaction history.
- Implementation of SAP Revenue Accounting and Reporting (RAR) for IFRS 15-compliant revenue recognition.

8. Conclusion

This project demonstrates a complete and functional Order-to-Cash (O2C) cycle implemented in SAP SD for fictitious company RY Technologies Pvt. Ltd. By walking through every step — from customer inquiry and quotation through sales order, delivery, billing, and payment posting — this document illustrates how SAP integrates multiple business processes into a seamless, automated workflow.

The O2C cycle is one of the most critical and widely implemented business processes in any SAP environment. Through this project, a strong understanding of SAP SD configuration, document types, organizational structures, pricing conditions, and cross-module integration with SAP FI has been

demonstrated. This project provides a solid foundation for real-world SAP SD consulting and implementation projects.

Declaration

I hereby declare that this project is my own original work. It has not been copied from any peer, senior, or internet source. I understand that plagiarism will result in zero marks.

Name: Rakesh Yadav | Roll No: 23053672 | Branch: B.Tech (CSE) | Date: April 2026